

Monetary Policy

Monetary policy refers to the policy actions taken by a country's central bank (in India, the Reserve Bank of India – RBI) to regulate the supply of money, availability of credit, and interest rates with the aim of achieving macroeconomic objectives.

Objectives

- **Price Stability:** Controlling inflation to maintain the purchasing power of money.
- **Economic Growth:** Facilitating adequate credit flow to productive sectors.
- **Financial Stability:** Ensuring stability of the banking and financial system.
- **Exchange Rate Stability:** Managing volatility in the external value of the rupee.
- **Employment Generation:** Supporting conditions conducive to job creation.

Types of Monetary Policy

- Monetary policy may be either *expansionary or contractionary*.
- An expansionary policy boosts the overall money supply in the economy by making funds more accessible through lower interest rates (cheap money).
- In contrast, a contractionary policy reduces the money supply by raising rates (dear money).

Expansionary Monetary Policy

- **Objective:**
 - To **increase money supply** and **stimulate economic growth**, especially during periods of slowdown or recession.
- **Features:**
 - Reduction in **policy rates** (e.g., repo rate) to lower borrowing costs.
 - Decrease in **CRR and SLR** to free up funds with banks.
 - Purchase of government securities (Open Market Operations) to inject liquidity.
 - Encouraging credit flow to businesses and consumers.
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- **Outcome:**
 - Boosts consumption and investment.
 - Raises aggregate demand.
 - May also risk higher inflation.

Contractionary Monetary Policy

Objective:

- To **reduce money supply** and **control inflation** when prices rise excessively.
- **Features:**
 - Increase in policy rates to make borrowing costlier.
 - Higher CRR and SLR to absorb excess liquidity.
 - Sale of government securities to withdraw money from the system.
 - Tightening credit to limit spending.
- **Outcome:**
 - Slows down demand and inflation.
 - May moderate growth if prolonged.

Instruments of Monetary Policy

The instruments used by the RBI to regulate the money supply fall into two broad categories:

- **Quantitative Tools** – These tools are designed to influence the overall cost and volume of credit in the economy.
- **Qualitative Tools** – These measures focus on directing the use of credit toward desired purposes.

Unlike quantitative tools, qualitative measures do not control the total credit generated by commercial banks. Instead, they distinguish between productive (good) and unproductive (bad) credit, regulating only those forms of credit that can lead to economic instability. For this reason, qualitative tools are also referred to as selective credit control measures.

Quantitative Tools of Monetary Policy

1.Repo Rate:

- The Repo Rate is the interest rate at which the Reserve Bank of India (RBI) loans money to commercial banks.
- More specifically, it is the interest rate at which the Reserve Bank provides liquidity under the liquidity adjustment facility (LAF) to all LAF participants against the collateral of government and other approved securities.
- Repo stands for “Repurchase Agreement.” When banks borrow funds from the RBI at the repo rate, they pledge government securities to the RBI and receive cash in exchange, agreeing to repurchase those securities by returning the borrowed funds (often overnight).
- The Repo Rate is also referred to as the “Policy Rate.”

2.Reverse Repo Rate:

- The interest rate at which the Reserve Bank absorbs liquidity from banks against the collateral of eligible government securities under the LAF.
- Following the introduction of SDF, the fixed rate reverse repo operations will be at the discretion of the RBI for purposes specified from time to time.
- Currently, banks are allowed to deposit any amount with the RBI at the reverse repo rate without restriction. However, if necessary, the RBI has the authority to impose a cap on these deposits.

3.Standing Deposit Facility (SDF) Rate:

- The rate at which the Reserve Bank accepts uncollateralised deposits, on an overnight basis, from all LAF participants.
- The SDF is also a financial stability tool in addition to its role in liquidity management.
- The SDF rate is placed at 25 basis points below the policy repo rate.
- With introduction of SDF in April 2022, the SDF rate replaced the fixed reverse repo rate as the floor of the LAF corridor.
- The use of SDF is entirely at the discretion of banks and is available every day of the week, year-round, unlike repo and reverse repo operations, which are conducted at the RBI’s discretion.

4. Marginal Standing Facility

- This facility, introduced in 2011, allows scheduled commercial banks to borrow additional overnight funds from the Reserve Bank, beyond what they can access through the repo window.
- Under this arrangement, banks can dip into their Statutory Liquidity Ratio (SLR) holdings up to a specified limit (2%) and borrow at a penal rate of interest.
- This provides a safety valve against unanticipated liquidity shocks to the banking system.
- The MSF rate is placed at 25 basis points above the policy repo rate.

5. Bank Rate:

- The rate at which the Reserve Bank is ready to buy or rediscount bills of exchange or other commercial papers.
- The Bank Rate acts as the penal rate charged on banks for shortfalls in meeting their reserve requirements (cash reserve ratio and statutory liquidity ratio). The Bank Rate is published under Section 49 of the RBI Act, 1934.
- This rate has been aligned with the MSF rate and, changes automatically as and when the MSF rate changes alongside policy repo rate changes.

6. Liquidity Adjustment Facility (LAF)

- A Liquidity Adjustment Facility (LAF) is a monetary policy tool used by the Reserve Bank of India (RBI) to inject or absorb liquidity in the banking system as needed. It consists of overnight as well as term repo/reverse repos (fixed as well as variable rates), SDF and MSF.
- Origin:
 - LAF was introduced by the Reserve Bank of India (RBI) in 2000 following the recommendations of the Narasimham Committee on Banking Sector Reforms (1998).
- **Repo (Repurchase Agreement):**
 - Used when banks need liquidity for their daily operations.
 - Banks borrow funds from RBI by pledging government securities.
 - Repo Rate is the rate of interest at which the RBI provides funds.
- **Reverse Repo:**
 - Used when banks have excess funds.
 - Banks park surplus liquidity with RBI.
 - Reverse Repo Rate is the rate of interest at which the RBI borrows funds from the SCBs.

- **Purpose**

- To help banks meet daily liquidity mismatches (shortages or excesses of funds).
- To allow RBI to absorb surplus liquidity from the banking system.
- The Repo Reverse Repo transaction can only be done in securities as approved by RBI (Treasury Bills, Central/State Govt, securities).
- RBI uses Repo and Reverse repo as instruments for liquidity adjustment in the system.
- Repo rate is known as policy rate and is used as signal to the financial system to adjust their lending and borrowing operations.
- The government securities that banks and primary dealers use under the LAF are the securities that they have purchased over and above what they are mandated to purchase under the statutory liquidity ratio (SLR) requirement.

7.LAF Corridor

- The LAF corridor has the marginal standing facility (MSF) rate as its upper bound (ceiling) and the standing deposit facility (SDF) rate as the lower bound (floor), with the policy repo rate in the middle of the corridor.

8.Reserve Requirements (Fractional Reserve Banking):

- **Cash Reserve Ratio (CRR):**

- The average daily balance that a bank is required to maintain with the Reserve Bank as a per cent of its net demand and time liabilities (NDTL) as on the last Friday of the second preceding fortnight that the Reserve Bank may notify from time to time in the Official Gazette.
- CRR is governed by Section 42 of the Reserve Bank of India Act, 1934.
- Under the RBI Act, 1934 the Reserve Bank, having regard to the needs of securing the monetary stability in the country, prescribes the CRR for banks without any floor or ceiling rate.
- CRR deposits earn no interest.
- A higher CRR means banks have less money available to lend to borrowers in the economy. During periods of high inflation, CRR is typically increased to absorb excess liquidity. Conversely, in times of moderate inflation, a lower CRR is maintained to support credit growth.

Statutory Liquidity Ratio (SLR):

- The Statutory Liquidity Ratio (SLR) refers to the proportion of deposits that scheduled commercial banks must maintain with themselves daily in the form of safe and liquid assets such as government securities, gold, and cash, relative to their Net Demand and Time Liabilities (NDTL).
- Excess CRR balance is also treated as liquid assets for the purpose of SLR.
- SLR aims at ensuring that the need for government funds is partly but surely met by the banks.
- Scheduled Commercial Banks are mandated to maintain SLR under the provisions of the Banking Regulation Act, 1949.
- The maximum ceiling for SLR is fixed at 40%.

9. Open Market Operations (OMOs)

- These include outright purchase/sale of government securities by the Reserve Bank for injection/absorption of durable liquidity in the banking system.
- When inflation in the economy is high, the RBI reduces the money supply by selling government securities, thereby absorbing liquidity from the system.
- Conversely, if the RBI wants to increase the money supply, it purchases government securities from banks and financial institutions, providing them with funds in exchange. This infusion of money ultimately raises the overall liquidity in the economy.

Qualitative Tools of Monetary Policy

Qualitative tools of monetary policy do not alter the overall quantity of liquidity in the economy but instead aim to regulate the allocation of credit across sectors. Such tools include moral suasion, selective credit controls, and margin requirements, which guide banks to channel credit into priority areas while restraining lending to speculative or undesirable sectors.

1. Selective credit controls

- Under selective credit controls, RBI encourages flow of credit to certain types of borrowers and discourages bank credit for certain other purposes.
- It can be done by setting limits on credit availability; charging high or low interest, or margin requirement.

2. Margin Requirement:

- When banks lend to certain sectors, the central bank may require them to maintain a margin, i.e., to set aside a specified percentage of the loan amount as security. This effectively blocks part of the bank's funds, making lending to that sector less attractive and reducing credit flow. Conversely, lowering or removing the margin requirement encourages more lending, as banks can deploy more funds without restriction.

3. Rationing of Credit:

- Under credit rationing, the central bank sets an upper limit on the total loans and advances that banks can extend to a specific sector. Commercial banks cannot exceed this ceiling, which helps control excessive lending to sectors deemed risky or inflationary. The Reserve Bank of India fixes these ceilings for selected categories of borrowers or activities.

4. Moral suasion:

- Moral suasion refers to the central bank's practice of requesting or advising banks to act in a desired manner without issuing formal directives. This could include appeals to lend more to small businesses or to lower interest rates.

5. Direct Action:

- This step is taken by the RBI against banks that don't fulfil conditions and requirements.